

Anticipating the Function and Impact India's New Personal Insolvency and Bankruptcy Regime

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In May of last year, India adopted a new regime for personal insolvencies and bankruptcies and repealed its colonial-era insolvency laws. The new regime for individuals was part of a broad, comprehensive reform of the country's insolvency and bankruptcy system, set forth in a new Insolvency and Bankruptcy Code. The new Code consolidates the pre-existing elements of a bankruptcy and insolvency system. It preempts other legal regimes within its scope and designates exclusive jurisdiction for insolvency and bankruptcy cases in the National Company Law Tribunals (for corporate cases) and Debt Recovery Tribunals (for personal cases). The Code also introduces numerous institutional innovations, many of which are modeled on approaches in other jurisdictions and redesigned for the Indian context. These include an Insolvency and Bankruptcy Board; a new occupational class of insolvency professionals; insolvency professional agencies; and financial information utilities. At the same time, the Code's substantive regime is designed to reduce and constrain the role of judges within the system¹ by, among other things, simplifying rules on eligibility; allocating most procedural functions to insolvency professionals; setting strict deadlines for most actions required of those professionals and judges; and generally encouraging settlement between parties.

The provisions of the new Code that apply to corporate debtors have received a significant amount of attention within India and abroad. These provisions were expressly designed to improve the speed and predictability of allocating losses from commercial ventures, either through restructuring of debts or liquidation. There were two predominant underlying goals of this design, both ultimately related to a perceived need to increase the amount of credit, especially unsecured credit, available to commercial

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¹ *Report of the Bankruptcy Law Reforms Committee Volume I: Rationale and Design*, at 6.2 ("As with legal entities, what is visualized for individuals is to enable a negotiated settlement between creditors and debtor[s] without active involvement of the court.").

ventures in the country. First, and most broadly, they hope that the new insolvency and bankruptcy system will improve and clarify lenders' expected insolvency-state returns,² in part by facilitating the rehabilitation of firms with significant going concern value and by expediting necessary liquidations. Among other things, they hope that this will promote the development of a domestic corporate bond market and help attract more foreign capital to the country. Second, and of more acute concern, policymakers hope that the new system will provide a tool for reducing the amount of existing non-performing assets in the country's banking system by enabling the long-needed resolution or rehabilitation of the banks' debtors who are counter-parties to those assets.³

In contrast, there has been little if any public discussion or commentary within India or elsewhere about the personal insolvency and bankruptcy provisions, which will apply to over 1.2 billion individuals when they go into force.⁴ Furthermore, there is relatively little in the public records about the precise goals that policymakers had in mind in adopting the personal insolvency and bankruptcy provisions of the Code. In fact, the initial interim report⁵ of the Bankruptcy Law Reforms Committee that was charged by the Indian Parliament to propose and draft the new Code did not include a proposal for reforming the existing personal insolvency laws. After an exhaustive discussion of the need for reforms for corporate liquidation and debt restructuring, it briefly noted the need for changes to the personal insolvency laws as well, indicating that proposed reforms to those laws would be included in the Committee's final report.⁶ The rationale for such reforms discussed in the Interim Report was limited to the challenges of addressing the financial distress of micro, small, and medium enterprises (MSME's), most of which are sole proprietorships.⁷ It did

² *Report of the Bankruptcy Law Reforms Committee, supra* note ___, at Chapter 3.

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⁴ *See infra* note ___ (explaining notification).

⁵ *Interim Report of the Bankruptcy Law Reform Committee*, February 2015, available at http://www.finmin.nic.in/sites/default/files/Interim_Report_BLRC_0.pdf

⁶ *Interim Report, supra* note ___, at 125.

⁷ *Interim Report, supra* note ___, at 125. Furthermore, the Interim Report proposed a separate statutory administrative regime for MSME's.

not address whether or why a new regime of personal insolvency laws might be needed for consumer and household debtors.

The Committee did include provisions for personal insolvency and bankruptcy in its draft legislation, but its final report did not address the underlying motivation for its work in this area or the social or economic need for the new provisions. It noted only “the importance of such borrowers in the economy,” and that, under the preexisting framework, creditors often had difficulty recovering from individuals and often resorted to “coercive practices,” which compounded the social costs of indebtedness.⁸ Given this statement, and considering the overall tenor of the Committee’s report, it appears that its primary goal in including and drafting these provisions was to promote increased consumer lending in the economy and, secondarily, to provide some degree of protection to individuals in financial distress.⁹

In contrast to the provisions for corporate debtors under the new Code, the provisions for personal insolvency and bankruptcy do not appear to have been driven by acute or particular economic or social conditions in India. This is noteworthy because countries with similar economies have tended to adopt or reform their consumer insolvency regimes in the wake of consumer financial crises or dramatically expanding consumer financial markets. While the amount of consumer debt in India has increased significantly in recent decades, it has not reached levels that suggest a systemic threat of consumer or household financial crisis. Aside from the ongoing financial vulnerability of farmers in certain regions of the country, there does not appear to be an emerging crisis of intractable over-indebtedness among individuals and households in India. It seems very unlikely that the Indian parliament would have endeavored to reform its personal

⁸*Report of the Bankruptcy Law Reforms Committee, supra note ___, at 114.*

⁹*See also, Siva Ramann, Renuka Sane & Susan Thomas, Reforming Personal Insolvency Law in India, Indira Gandhi Institute of Development Research working paper, Dec. 2015, available at <http://www.igidr.ac.in/pdf/publication/WP-2015-035.pdf> (prepared for the Bankruptcy Law Reform Committee).*

insolvency laws if it were not otherwise overhauling the insolvency system for commercial debtors.

The new Indian Code thus appears to represent a rare instance of a country adopting or modernizing a personal insolvency or bankruptcy regime at the relatively early stages of the development of a consumer financial market, before one is acutely necessary. Acting at this stage, before an acute need for reform arises, can help promote the development of a stable market for consumer credit, making creditors more willing to lend and individuals more willing to borrow, and reducing the social costs of consumer financial distress. But this developmental function depends on a system that improves creditors' insolvency state returns, or at least makes those losses predictable, and that effectively insures individuals against the risk of over-indebtedness.

It is not clear yet how well the provisions for personal insolvency and bankruptcy under the Code will serve these functions, and there are some causes for concern. For example, certain aspects of the institutional design may exacerbate inter-creditor conflicts or, by relying on negotiated repayment plans, may cause creditors' returns to be unpredictable. While the fresh start process for individuals with low incomes, few assets, and relatively little debt, is designed to provide a generous insurance function, the insolvency provisions that apply to all other debtors provide much more limited protection for individual debtors. The insurance function of insolvency or bankruptcy law may be more important to debtors who have income and assets to protect, or who have significant amounts of debt. If so, the scope of the insurance function of the new system may be too parsimonious to have a beneficial impact on the development of consumer financial markets.

This Article proceeds as follows. Part I describes the India's new personal insolvency and bankruptcy regime, highlighting changes from the pre-existing landscape. Part II examines the goals that appear to have motivated drafters and policymakers who actually designed and adopted the new personal insolvency and bankruptcy regime and considers the potential impact of the Code in light of the goals. Part II.A. describes these

goals, drawing both on the public record and from the substance of the Code as enacted. Part II.B. assesses certain design features of the new personal insolvency and bankruptcy system in light of these goals. Part II.C. anticipates how the new system may function and what role it may play in the Indian economy and its society, raising questions for further research. This Article concludes that the new personal insolvency and bankruptcy regime may, at least in the short- to medium-term, function primarily, if imperfectly, as a creditor's tool or remedy rather than a form of social insurance. If so, this could have a modest beneficial effect on the supply side of developing markets for consumer finance. On the other hand, there are risks that it will exacerbate some of the personal and social costs of household debt or that it will deter individuals from borrowing and may thereby retard the development of demand for consumer finance.

I. The New Regime

India's new Insolvency and Bankruptcy Code is, with a few notable exceptions,¹⁰ comprehensive, covering both commercial and household debtors and displacing all preexisting regimes within its scope. It was drafted and enacted in a surprisingly short period of time for such a consequential and comprehensive legal regime. In the early fall of 2014, India's Ministry of Finance formed a Bankruptcy Law Reforms Committee to draft new legislation. The Committee published an interim report a few months later, in February 2015,¹¹ describing potential reforms to the country's insolvency and bankruptcy law, and setting forth a basic framework for commercial debtors. The report noted that the Committee was planning to propose reforms to the existing personal insolvency laws as well.

¹⁰ The Code does not include, for example, any provisions dealing with cross-border insolvencies, and resolution of financial firms is provided for separately by the Financial Resolution and Deposit Insurance Bill, 2016, which is current under consideration.

¹¹ http://finmin.nic.in/sites/default/files/Interim_Report_BLRC_0.pdf

The Committee published a final report¹² and draft bill¹³ in November 2015, which covered both business and personal debtors. After a brief period for public comments,¹⁴ a slightly modified draft bill was introduced in the Lok Sabha, the lower house of India's Parliament. A joint legislative committee representing both houses of Parliament reviewed the draft bill, heard testimony and received additional public comments during the winter of 2016 and issued a report and a bill with some modifications in April of 2016.¹⁵ The bill was enacted by Parliament and approved by the Prime Minister the following month.¹⁶ The provisions for business debtors were notified¹⁷ and came into force in August of 2016; the provisions for personal insolvency and bankruptcy have not yet been notified and thus are not yet in force.¹⁸ The Code is widely viewed as one of the most significant financial and economic reforms in India in recent years.¹⁹

This Part describes the major institutional innovations of India's new Insolvency and Bankruptcy Code and summarizes the substantive rules of its personal insolvency and bankruptcy provisions, highlighting some of the significant differences between the new regime and the status quo ante. The institutional innovations discussed below are part of the new framework for both personal and corporate cases. The substantive rules of the new Indian personal insolvency and bankruptcy regime described below apply only to individual debtors, although they are similar in many respects to the new substantive rules governing corporate cases. Readers who are familiar with the new

¹² http://dea.gov.in/sites/default/files/BLRCReportVol1_04112015.pdf

¹³ <http://mof.gov.in/reports/DraftInsolvencyBankruptcyBil2015.pdf>

¹⁴ [Is that right?]

¹⁵ http://ibbi.gov.in/16_Joint_Committee_on_Insolvency_and_Bankruptcy_Code_2015_1.pdf

¹⁶ <http://www.indiacode.nic.in/acts-in-pdf/2016/201631.pdf>

¹⁷ As with other legislative acts, the Code provides that "It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint" See sec 1.3. The Official Gazette, published by the Government of India Press, is generally used by the government to publish official notices. See <http://egazette.nic.in/>

¹⁸ The Code provides that its different provisions can be notified at different times. IBC, § 1.3

¹⁹ http://www.ibbi.gov.in/Press_Release_06032017.pdf

Indian Insolvency and Bankruptcy Code may want to turn directly to Part II, which examines the goals of the new Code, assesses its design, and considers its potential impact.

A. The New Institutions

The Insolvency and Bankruptcy Code creates what has been described as an ecosystem of various new institutions, institutional features, and institutional actors that will be responsible for crucial aspects of the system.²⁰ Most important of these are the Insolvency and Bankruptcy Board, insolvency professionals, insolvency professional agencies, and financial information utilities, which are described below. Furthermore, the Code designates existing National Company Law Tribunals and Debt Recovery Tribunals to serve as the fora and the “adjudicating authorities” for commercial and personal insolvency and bankruptcy cases, respectively.²¹

1. The Board. The Insolvency and Bankruptcy Board of India is a major new regulatory entity, and it will likely grow to be an important component of the Indian economy and the country’s administrative state. The general powers of the Board include regulating and supervising insolvency professional agencies, insolvency professionals, and information utilities.²² This involves determining eligibility and registration requirements for the professionals and their agencies; in every case, approving the insolvency professional appointed by a party or the tribunal; supervising the operations of insolvency professional agencies and information utilities; and, issuing regulations related to these actors and to implement numerous other aspects of the Code.²³ The Board is also charged with the important if under-appreciated responsibility for gathering and disseminating

²⁰ http://www.ibbi.gov.in/Press_Release_06032017.pdf

²¹ See *infra* notes ____ and accompanying text.

²² IBC, § 196.

²³ IBC, § 196, 240.

data related to the new insolvency and bankruptcy system.²⁴The powers of the Board are “subject to the general direction of the central government,”²⁵and the central government can take over authority from the Board in an emergency or if the Board is failing to perform its functions.²⁶The Code also expressly grants authority for rulemaking on certain matters to the central government.²⁷

The membership of the Board must include representatives of the central government from the Ministries of Finance, Corporate Affairs, and Law, as well as a representative of the Reserve Bank of India, the country’s central bank,²⁸all of whom are appointed by the central government.²⁹The initial Board has been designated and installed in office.³⁰ The Board’s first chairperson, M.S. Sahoo, took office in October 2016. Prior to this position, he has served as a member of the Securities and Exchange Board of India and of the Competition Commission of India, held various government positions, and practiced as attorney.³¹

Perhaps most significantly in the short- to medium-term, the Board has primary responsibility for completing the design of the insolvency and bankruptcy system set up by the Code.³²Since the provisions of Code for commercial debtors have gone into effect, the Board has promulgated regulations on the authorization and performance of insolvency

²⁴IBC, § 194 (requiring the Board to “collect and maintain records relating to insolvency and bankruptcy cases and disseminate information relating to such cases; [and] maintain websites and such other universally accessible repositories of electronic information as may be necessary”).

²⁵ IBC, § 196.

²⁶ IBC, § 225-26.

²⁷ IBC, § 239. [*See also*, ____.]

²⁸ IBC, § 189.

²⁹ IBC, § 188.

³⁰ <http://www.ibbi.gov.in/members.html>

³¹ <http://www.ibbi.gov.in/about-chairperson.html>

³²As the Board is getting started, its powers and responsibilities can be exercised by a financial sector regulator or the central government. IBC, § 244.

professionals³³ (including guidelines for the appointment of interim insolvency professionals³⁴); the establishment and operation of insolvency professional agencies³⁵ (including model bylaws³⁶); the operation of insolvency³⁷ and liquidation³⁸ provisions (including the voluntary liquidation provisions³⁹ and fast-track insolvency provisions⁴⁰) for corporate and commercial debtors; the establishment and operation of information utilities;⁴¹ and the inspection and investigation of insolvency professionals, entities, and agencies by the Board.⁴² The Board has formally recognized two insolvency professional entities.⁴³

2. Insolvency Professionals, Entities, and Agencies. The Code creates a new occupation of insolvency professional. It also requires that these insolvency professionals be affiliated with insolvency professional agencies and be registered and remain in good standing with the Insolvency and Bankruptcy Board. The Code itself does not, however, provide any other qualifications for these professionals. It expressly delegates to the Board authority to “specify the categories of professionals or persons possessing such

³³ http://www.ibbi.gov.in/Law/GAZETTEIP_professional.pdf

³⁴ http://www.ibbi.gov.in/Interim_Resolution_Profesional.pdf

³⁵ http://www.ibbi.gov.in/Law/IPA%20REGULATIONS_professional_agencies.pdf

³⁶ <http://www.ibbi.gov.in/Law/MODEL%20BYE-LAWS.pdf>

³⁷ http://www.ibbi.gov.in/Law/1_CIRP%20REGULATIONS301116.pdf

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[http://www.ibbi.gov.in/Law/IBBI%20\(Liquidation%20Process\)%20Regulations,%202016%2015%20DEC.p
df](http://www.ibbi.gov.in/Law/IBBI%20(Liquidation%20Process)%20Regulations,%202016%2015%20DEC.pdf)

³⁹ [http://www.ibbi.gov.in/IBBI%20\(Voluntary%20Liquidation\)%20Regulations%202017.pdf](http://www.ibbi.gov.in/IBBI%20(Voluntary%20Liquidation)%20Regulations%202017.pdf)

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[http://www.ibbi.gov.in/Insolvency_and_Bankruptcy_Board_of_India_Fast_TrackInsolvency_Resolution_
Process_for_Corporate_Persons_Regulations_2017.pdf](http://www.ibbi.gov.in/Insolvency_and_Bankruptcy_Board_of_India_Fast_TrackInsolvency_Resolution_Process_for_Corporate_Persons_Regulations_2017.pdf)

⁴¹ <http://www.ibbi.gov.in/IU%20Regulations%2031032017%20Final.pdf>

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[http://www.ibbi.gov.in/The_Insolvency_and_Bankruptcy_Board_of_India_Inspection_and_Investigation_
_Regulations_2017.pdf](http://www.ibbi.gov.in/The_Insolvency_and_Bankruptcy_Board_of_India_Inspection_and_Investigation_Regulations_2017.pdf)

⁴³ http://www.ibbi.gov.in/Press_Release_06032017.pdf

qualifications and experience in the field[s] of finance, law, management, insolvency or such other field as it sees fit.”⁴⁴

Insolvency professionals are charged with managing most aspects of any insolvency or bankruptcy case under the Code and will play a crucial primary role in the operation of India’s new insolvency and bankruptcy system. From a system-wide perspective, the insolvency professionals will arguably play a more consequential role than the tribunal judges who will act as adjudicating authorities. They will, for example, likely initiate most cases brought on behalf of debtors or creditors under the Code.⁴⁵ Once selected and confirmed by the Board,⁴⁶ they are generally responsible for serve as intermediaries between stakeholders – i.e., debtors and creditors – and between these stakeholders and the adjudicating authorities. Among other things, they are expected to ensure stakeholders obtain relevant information;⁴⁷ to help formulate and then recommend plans to the adjudicating authorities,⁴⁸ who have limited powers of review;⁴⁹ and to manage and distribute estates.⁵⁰ In cases involving corporate debtors, for example, insolvency professionals take over operations from the debtors’ management⁵¹ and serve as liquidators if debtors are to be liquidated.⁵² As described below in more detail,⁵³ they manage personal insolvency and fresh start cases, and they serve as trustees for individual debtors in bankruptcy proceedings.

⁴⁴ IBC, § 207(2)[Add regs]

⁴⁵ See, e.g., IBC, § 95. Debtors and creditors in both commercial and personal cases can propose their own insolvency professionals.

⁴⁶ See *infra* notes ____ and accompanying text.

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⁵³ See *infra* notes ____ and accompanying text.

The Code itself sets forth a “code of conduct” for insolvency professionals. It requires that individuals serving in this capacity to exercise “reasonable care and diligence”; comply with the internal rules of the insolvency professional agency he or she is affiliated with; allow the agency to examine his or her records; to submit records of each proceeding before a tribunal to that agency and to the Board; and to act according to other conditions that may be set by the Board.⁵⁴

3. Information Utilities. The Code also provides for the creation of new financial information utilities. These entities are designed to receive financial information from private parties,⁵⁵ including those who “are under obligations to submit financial information under the Code”;⁵⁶ authenticate such information with input from “all concerned parties”;⁵⁷ “create and store financial information in a universally accessible format”;⁵⁸ and to provide access to the information to entities authorized to obtain it.⁵⁹ The drafter of the Code expressed the hope that, to avoid the inefficiencies of monopoly, a number of such financial utilities would emerge.⁶⁰ If so, and assuming that they do not all contain the same information, parties will need to be able to search for information from all existing utilities; the Code therefore provides that each utility must “have inter-operability with other information utilities.”⁶¹

The drafting committee recommended “that the IUs should include records of all financial liabilities, secured and unsecured and unsecured.”⁶² Many of the pressing time requirements for actions under the Code appear to be premised on the expectation that

⁵⁴ IBC, § 208.

⁵⁵ IBC, § 214(c).

⁵⁶ IBC, § 214(b).

⁵⁷ IBC, § 214(e).

⁵⁸ IBC, § 214(a).

⁵⁹ IBC, § 214(f).

⁶⁰ [have they?]

⁶¹ IBC, § 214(h).

⁶² *Report of the Bankruptcy Law Reforms Committee, supra* note ___, at 4.3.3. [regs?]

these utilities will provide such information rapidly and routinely. Most notably, as described below,⁶³ these utilities will serve the crucial function of providing evidence of a debtor's default, which is the central requirement of eligibility for insolvency.

4. Insolvency Fund. The Code also authorizes an Insolvency and Bankruptcy Fund “for the purposes of insolvency resolution, liquidation and bankruptcy of persons under the Code.”⁶⁴ This intriguing provision of the Code is in one brief and very general section and so the design and operation of the Fund will presumably be determined by the Board through regulations, which is has not yet done. The Code itself simply sets two features in place. First, it authorizes the central government, private individuals and entities, and “other source[s]” to contribute to the Fund.⁶⁵ Second, it authorizes any individual or entities that has “contributed any amount to the Fund” and becomes involved in an insolvency or bankruptcy proceeding as a debtor to apply to withdraw up to that amount “for making payments to workmen, protecting the assets of such persons, meeting the incidental costs during the proceedings or such other purposes as may be prescribed.”⁶⁶ Because the Code envisions contributions from sources other than private entities, it stands to reason that it will be authorized to disperse funds under other circumstances as well, perhaps at the discretion of a tribunal or the Board.

[5. Repurposed Tribunals. As described in the next section, the Code designates the pre-existing National Company Law Tribunals and Debt Recovery Tribunals as exclusive tribunals for insolvency and bankruptcy cases. Depending on the size and scope of the caseload under the new insolvency and bankruptcy system, this new role has the potential to dramatically change the nature of these tribunals, essentially remaking them. At the least, it is certainly conceivable that these cases could come to predominate their workload,

⁶³ See *infra* notes ____ and accompanying text.

⁶⁴ IBC, § 224.

⁶⁵ IBC, § 224(2).

⁶⁶ IBC, § 224(3).

eventually requiring new administrative features and additional staff devoted to insolvency and bankruptcy cases.]

B. The New Substantive Framework

The substantive framework of India's new Insolvency and Bankruptcy Code supplants a web of pre-existing laws that had provided for liquidation and restructuring of business entities and insolvency proceedings for individuals.⁶⁷ The Companies Act of 1956, which provides for resolution of corporations, was one of the most important components of the preexisting insolvency regime. It had been amended in 2013 to provide for rescuing firms and restructuring their debt, but those provisions were not subsequently notified; the 2013 amendments also created the National Company Law Tribunal and Appellate Tribunal, which replaced the Company Law Board and the Board for Industrial and Financial Reconstruction.⁶⁸ Other important components of the preexisting regime include the Sick Industrial Companies Act of 1985, which provides for restructuring of industrial companies;⁶⁹ the Recovery of Debts Due to Banks and Financial Institutions Act of 1993, which gave those institutions advantageous rights to recover collateral from defaulting debtors and created the Debt Recovery Tribunals for this narrow purpose;⁷⁰ and the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act of 2002, which, among other things, provides for self-help enforcement by secured creditors against collateral, with appeals to the Debt Recovery Tribunal.⁷¹ The Ministry of Finance had also created the Joint Lending Forum and the Strategic Debt Restructuring Forum.⁷²

⁶⁷ Aparna Ravi, *The Indian Insolvency Regime in Practice*, 2015

⁶⁸ [replace:
<http://www.mondaq.com/india/x/500200/Corporate+Commercial+Law/National+Company+Law+Tribunal+NCLT+replaces+Company+Law+Board+CLB+from+June+2016>]

⁶⁹ *Report of the Bankruptcy Law Reforms Committee*, *supra* note ___, at 3.3.

⁷⁰ *Report of the Bankruptcy Law Reforms Committee*, *supra* note ___, at 3.3.

⁷¹ [list]

⁷² *Report of the Bankruptcy Law Reforms Committee*, *supra* note ___, at 3.3.

The provisions in the new Code for individuals and households replace two colonial-era insolvency laws, the Presidential Towns Act and the Provincial Towns Act.⁷³ Under these laws individual debtors or their creditors could initiate a case to have their debtor be deemed formally insolvent in a civil court of general jurisdiction or a subordinate court within the civil court system.⁷⁴ Under these laws, the debtor could, at least in theory, obtain some measure of debt relief. To do so, the court was required to determine that the debtor had committed an “act of insolvency,” such as acting to defeat or delay one’s creditors, transferring all or most of one’s assets, asserting to creditors that one is not going to pay an obligation, having property sold in execution of a court decree, or failing to respond to a creditor’s notice of insolvency. Courts were required to dismiss cases if they determined that the debtor had the capacity to repay his or her debts.⁷⁵ Under this prior regime, courts had significant discretion in providing for the discharge of debt and in staying other actions affecting a debtor or the debtor’s property.⁷⁶ Thus, under those laws, debtors in an insolvency proceeding were often still subject to other debt recovery laws.

This web of regimes for firms and individuals created significant uncertainty for stakeholders and tended to extend the time required to resolve or restructure firms in financial distress. It was not always clear when or how the scope of these different regimes overlapped. When they did – or might -- overlap, this provided significant opportunities for parties to shop among courts and venues before and during disputes and sometimes allowed for concurrent proceedings in different courts or jurisdictions. Furthermore, the substantive rules of many of these regimes often gave judges broad discretion over critical interventions or required judicial determinations of factual matters, which exacerbated the slow pace of cases in the system.

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⁷⁴ Feibelman, *Consumer Finance and Insolvency Law in India: A Case Study*, Brooklyn J. Int’l L.

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This Article focuses on the provisions of the new Insolvency and Bankruptcy Code relating to personal debtors rather than those covering commercial debtors, but the new Code employs some general approaches that apply in all cases. In both realms, it consolidates and clarifies the substantive law that applies once a case is initiated under the Code, and it vests adjudicatory authority for cases in two tribunals, one for commercial debtors and the other for individuals. As noted above, the Code designates the National Companies Law Tribunal as the exclusive venue for commercial debtors⁷⁷ and Debt Recovery Tribunals for personal insolvency and bankruptcy cases.⁷⁸

In both regimes, the Code provides insolvency or restructuring as a first-order strategy, liquidation or “bankruptcy” if the first-order approach is not successful, and separate provisions for debtors with relatively low levels of debt or few assets.⁷⁹ Both regimes also utilize express and strict time limits for a host of actions, which are designed to advance cases expeditiously; effectively liberalize the threshold triggers or circumstances that enable debtors and creditors to initiate cases; provide consistently robust protections for secured creditors; and require a new insolvency professionals to play a central role in all cases. The following sections summarize basic aspects of the Code as it applies to personal debtors.

1. Insolvency. Broadly speaking, the personal insolvency provisions of the Code require a debtor to propose a repayment plan that meets with the approval of a majority of the debtor’s creditors. Part III of the Code provides that, except for rare cases, debtors who enter the new system will either do so through an insolvency proceeding or a “fresh start” proceeding, which is described below.⁸⁰ A debtor can initiate an insolvency case under

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⁷⁹The Code allows commercial debtors to voluntarily seek liquidation or restructuring in an insolvency process and allows creditors to initiate a debtor’s insolvency proceeding. If a debtor’s insolvency case fails, then creditors can seek the debtor’s liquidation. The Code also provides for a “fast track” insolvency process for small firms.

⁸⁰See *infra* notes ____ and accompanying text.

Chapter III of Part III of the Code if he or she “commits a default”⁸¹ on debt of at least 1,000 rupees,⁸² unless the default is on an “excluded debt.”⁸³ A creditor can initiate an insolvency case for any defaulting debtor if the creditor serves a formal demand and the debtor fails to pay in 14 days.⁸⁴ A default is defined in the Code as “non-payment of debt when whole or any part or instalment of the amount of debt has become due and payable and is not repaid”⁸⁵ As noted above, the information utilities are designed to play a crucial role at this point as policymakers hope and anticipate that defaults will be recorded with one or more utility in and can be almost immediately verified by the adjudicating authority. In fact, the Code provides that “[w]here the debt for which an application has been filed by a creditor is registered with [a] information utility, the debtor shall not be entitled to dispute the validity of the debt.”⁸⁶

To initiate a personal case, an individual debtor must file an application with the Debt Recovery Tribunal in the relevant jurisdiction.⁸⁷ The filing party may do so itself or employ a resolution professional of their choosing, who will then presumably manage the case.⁸⁸ The Board must confirm an insolvency professional selected by a filing party or

⁸¹ IBC, § 94, 95. A default is defined under the Code as “non-payment of debt when whole or any part or instalment of the amount of debt has become due and payable and is not repaid by the debtor.” IBC, § 3(12). [What about default of non-payment terms?]

⁸² IBC, § 78. The Code further provides that the Central Government can raise this minimum but not above one lakh (one hundred thousand) rupees. IBC, § 78.

⁸³ IBC, § 94(3). For a discussion of the status of excluded debts in personal insolvency cases, *see infra* note ____.

⁸⁴ IBC, § 95(4)(b).

⁸⁵ IBC, § 3(12).

⁸⁶ IBC, § 99(3).

⁸⁷ IBC, § 94, 95. The Code does not specify information or documents that a debtor must include with an application but provides that an application submitted by a creditor must include information about all debts owed by the debtor to the filing creditor(s), the creditor’s demand for payment and the debtor’s failure to do so within 14 days, and evidence of the debtor’s default. IBC, § 95(4). [Can spouses file jointly?]

⁸⁸ If a party files directly, they can subsequently designate a resolution professional. If they do not do so, the Debt Recovery Tribunal will request that the Insolvency and Bankruptcy Board do so. Other

nominate an alternative professional within seven days.⁸⁹ If a party files an application directly, the relevant tribunal will request the Board to appoint a resolution professional within seven days⁹⁰ and the Board must appoint one within ten days thereafter.⁹¹ A party can object to the resolution professional who initiates a case and apply to adjudicating authority to have that initial resolution professional replaced.⁹²

Upon the filing of a case, an interim moratorium automatically goes into effect.⁹³ Such a moratorium or stay is a crucial feature of any insolvency or bankruptcy system. An interim moratorium in this context stays “any legal action or proceeding pending in respect of any debt” bars creditors of the debtor from “initiat[ing] any legal action or proceedings in respect of any debt.”⁹⁴ The Code also authorizes the Central Government to include other transaction within the scope of the interim moratorium.⁹⁵ This moratorium appears to apply to secured creditors, but it does not extend to any actions unrelated to proceedings related to debts. This raises uncertainty about whether creditors might take actions under the moratorium other than initiate a formal action or proceeding to try to pressure their debtors to repay.

Once approved or appointed, the resolution professional must submit a report to the Debt recovery Tribunal within 10 days recommending either approval or rejection of the application.⁹⁶ Somewhat confusingly, the Code only charges the resolution professional

parties may object to a resolution professional designated by the filing party or by the Board. [basis for removal?]

⁸⁹ IBC, § 97. If the proposed professional is disqualified, the Board appoints a different professional. IBC, § 97, 82 (for fresh start cases).

⁹⁰ IBC, § 97(3).

⁹¹ IBC, § 97.

⁹² IBC, § 98.

⁹³ IBC, § 96.

⁹⁴ IBC, § 96(1)(b).

⁹⁵ IBC, § 96(3).

⁹⁶ IBC, § 99. The resolution professional can request additional information from a party, who then has seven days to provide the information. IBC, § 99(4),(5).

with determining that the application satisfies the basic requirements for such applications set out under the Code⁹⁷ but also requires that the resolution professional “record the reasons for recommending the acceptance or rejection of the application in the report...”⁹⁸

The Debt Recovery Tribunal must in turn determine within 14 days after receiving the resolution professional’s report whether to admit or reject the insolvency application.⁹⁹ The Code does not provide standards to govern the Tribunal’s approval or rejection of applications at this stage. If the application is admitted, the interim moratorium becomes permanent and somewhat expanded by additionally providing that the debtor “shall not transfer, alienate, encumber or dispose of any of his assets or his legal rights or beneficial interests therein.”¹⁰⁰ The Debt Recovery Tribunal must issue a public notice within seven days of accepting an application inviting creditors to submit claims within three weeks.¹⁰¹ The resolution professional must prepare a list of creditors from the information included in the application and from claims asserted by creditors in response to the public notice.¹⁰²

The debtor in a personal insolvency proceeding is responsible for preparing a repayment plan “in consultation with the resolution professional,”¹⁰³ which must provide a justification for plan and “reasons on the basis of which the creditors may agree upon the plan,”¹⁰⁴ designate any fee to be paid to the resolution professional,¹⁰⁵ as well as other

⁹⁷IBC, § 99(6).

⁹⁸IBC, § 99(9).

⁹⁹IBC, § 100.

¹⁰⁰IBC, § 101(2)(c).

¹⁰¹IBC, § 102.

¹⁰²IBC, § 103, 104.

¹⁰³IBC, § 105(1).

¹⁰⁴IBC, § 105(3)(a).

¹⁰⁵IBC, § 105(3)(b).

matters “to be specified.”¹⁰⁶The Code does not set forth any additional requirements or standards for a debtor’s repayment plan, but does provide that a plan “may authorize or require the resolution professional to carry on the debtor’s business or trade ...; realize the assets of the debtor; or administer or dispose of any funds of the debtor.”¹⁰⁷

The insolvency professional must submit the debtor’s resolution plan and a report about the plan to the Debt Recovery Tribunal within three weeks of the deadline for creditors to submit claims.¹⁰⁸The only requirements set forth in Code for the report or the plan are that the report must confirm that the plan complies with current law and that the plan “has a reasonable prospect of being approved and implemented.”¹⁰⁹ The report must also state whether a meeting of creditors is necessary and, if not, state why.¹¹⁰ This reflects that the Code appears to assume that, in most cases, the resolution professional will then convene a meeting of creditors.¹¹¹Such a meeting of creditors must occur at least two weeks after but within 28 days from when the resolution professional submits the debtor’s repayment plan.¹¹² At the meeting, the creditors, other than associates of the debtor,¹¹³ must decide whether to approve or reject the plan or modify it with the debtor’s consent.¹¹⁴Approval requires “a majority of more than three-fourth in value” of the claims of creditors voting in person or by proxy.¹¹⁵

¹⁰⁶IBC, § 105(3)(c). It is not clear if this provision envisions that other matters might be specified by an adjudicating authority on a case by case or whether they can only be specified in general by the Board through regulations.

¹⁰⁷IBC, § 105(2).

¹⁰⁸IBC, § 106.

¹⁰⁹IBC, § 106(2)(a),(b).

¹¹⁰IBC, § 106(2)(c).

¹¹¹IBC, § 106, 107.

¹¹²IBC, § 106.

¹¹³IBC, § 109(4)(b).

¹¹⁴IBC, § 106-11.

¹¹⁵IBC, § 111.

Secured creditors are entitled to vote in this process; if they do participate in the voting, however, they cannot enforce their security interests during the duration of the plan unless they are only voting the unsecured portion of their claim.¹¹⁶ Furthermore, a secured creditor's consent is required if the creditor does not participate in voting on a plan that affects its "right to enforce security."¹¹⁷

The resolution professional must prepare a report on the meeting of creditors and, if the creditors vote to approve the plan, submit that plan to the Debt Recovery Tribunal.¹¹⁸ The Tribunal then issues an order either approving or rejecting the plan "on the basis of the report of the meeting of the creditors;"¹¹⁹ the Tribunal may also provide instructions for implementing the plan or require the creditors to meet to modify the plan.¹²⁰ As discussed below,¹²¹ the Code does not specify any additional standards to govern the Debt Recovery Tribunals' evaluation of the resolution professional's report or its decision on whether to approve or reject the plans. [maybe a bit of commentary on this?] The moratorium expires when the Tribunal issues its order or, in any event, within 180 days from the date of the admission of the debtor's application.¹²² This effectively means that the full process of submitting and approving a debtor's plan must occur within that 180 period; the Code itself does not provide for an extension of this deadline.

If the Debt Recovery Tribunal approves the debtor's repayment plan, the insolvency professional is then responsible for implementing the plan through its duration¹²³ and

¹¹⁶IBC, § 110.

¹¹⁷IBC, § 110(5).

¹¹⁸IBC, § 112-13.

¹¹⁹IBC, § 114(1).

¹²⁰IBC, § 114(2),(3).

¹²¹See *infra* notes ____ and accompanying text.

¹²²IBC, § 101.

¹²³IBC, § 116.

applying for a discharge of the debtor's debts.¹²⁴ A debtor is generally entitled to a discharge of debts upon completion of the plan, although the Code authorizes early discharge as well.¹²⁵ The personal insolvency provisions of the Code do not specify whether any debts are non-dischargeable, as do the provision for personal bankruptcy discussed below.¹²⁶ Instead, the Code states that the resolution professional must apply for a debtor's discharge "on the basis of the repayment plan,"¹²⁷ which suggests that the repayment plan itself must stipulate which debts are dischargeable, subject to creditor approval.¹²⁸

2. Bankruptcy. The bankruptcy provisions of the Code enable the Debt Recovery Tribunals to liquidate a debtor's assets, with some important exceptions, to pay as much of the debtor's debt as possible and to discharge the unpaid balance of certain debts. Chapter IV of Part III of the Code provides that bankruptcy is available for individuals under three circumstances: where a debtor's application for insolvency was rejected by a Debt Recovery Tribunal because the debtor filed fraudulently; where a Debt Recovery Tribunal rejects the debtor's repayment plan; and where a debtor's repayment plan ends before complete.¹²⁹ A case must be filed within three months of one of these circumstances.¹³⁰

¹²⁴IBC, § 119.

¹²⁵IBC, § 119.

¹²⁶ See *infra* notes ____ and accompanying text.

¹²⁷IBC, § 119(1).

¹²⁸On the other hand, the personal insolvency regime does recognize the category of excluded debts, denying eligibility to debtors who only default on such debts. See *supra*note ____ and accompanying text. This could provide some basis for affected creditors to argue that the Code should be construed to disallow discharge of excluded debts in an insolvency case.

¹²⁹IBC, § 121. See also IBC, § 100, 115, 118. It is not entirely clear from the Code whether a debtor might be eligible for bankruptcy if creditors do not vote to approve his or her repayment plan; this would presumably be precluded if Debt Recovery Tribunals only consider whether to approve or reject plans that have already been approved by creditors. The resolution professional must submit a report on creditors meetings regardless of whether the creditors approve the debtor's plan or not. Section 114 does not expressly prohibit the Tribunal from approving a plan that has not been approved by creditors, but the general structure and logic of the insolvency provisions does not seem designed to allow such a circumstance.

¹³⁰IBC, § 121.

A debtor or one or more of the debtor's creditors can apply to initiate a bankruptcy proceeding with a Debt Recovery Tribunal.¹³¹ The filing party can propose an insolvency professional,¹³² and the Tribunal must within a week notify the Board of the proposed insolvency professional or, if the filing party does not propose one, request that Board do so.¹³³ The Board has 10 days to approve a proposed individual or nominate one if it rejects the proposed individual or if the filing party has not proposed one.¹³⁴

An interim moratorium operates upon the filing of a bankruptcy case,¹³⁵ and the Debt Recovery Tribunal must pass a bankruptcy order or dismiss the application within two weeks of the approval of the proposed insolvency professional by the Board.¹³⁶ The Code does not provide any additional the standards or requirements for issuing a bankruptcy order, so the Tribunal is presumably limited at this stage to confirming that the basic eligibility requirements are satisfied. Upon a bankruptcy order, an "estate of the bankrupt," which is eventually to be distributed among the debtor's creditors, vests in the insolvency professional¹³⁷ – in this context, the bankruptcy trustee.¹³⁸ The estate is comprised of "all property belonging to or vested in the bankrupt at the bankruptcy commencement date."¹³⁹ It does not include "excluded assets," property held by the bankrupt as a trustee, money due to workmen, or any other assets designated by the

¹³¹IBC, § 121. A secured creditor that files an application to initiate a debtor's bankruptcy must either relinquish its security or file a statement that it is only filing "in respect of the unsecured part" of its debt. IBC, § 123(2).

¹³²IBC, § 122(2), 123(4).

¹³³

¹³⁴IBC, § 125.

¹³⁵IBC, § 124. The interim moratorium in this context has the same scope as one that operates in a personal insolvency case under Chapter III.

¹³⁶IBC, § 126.

¹³⁷IBC, § 128(1)(a), 154.

¹³⁸ The role of the bankruptcy trustee is described *infra* in text accompanying notes [____].

¹³⁹IBC, § 155.

central government and financial regulators.¹⁴⁰ Excluded assets include tools, equipment, books, and vehicles of personal or business use; basic household goods, furniture, and equipment; certain personal ornaments of religious significance; life insurance policies or pension plans; and a dwelling unit up to a value to be determined by the Board.¹⁴¹ These exclusions do not defeat existing encumbrances.¹⁴² Disposition of property by a bankrupt during the pendency of a bankruptcy is “void,” but a bona fide purchaser cannot be divested of the property.¹⁴³ Property acquired during bankruptcy is part of the estate unless it is an excluded asset.¹⁴⁴

The issuance of a bankruptcy order also ends the interim moratorium, and imposes a new moratorium enjoining creditors from initiating actions “against the property of the bankruptcy in respect of” debts owed to them or from commencing any other actions in respect of such debt without permission from the Tribunal.¹⁴⁵ The Tribunal must make public notices of the bankruptcy within 10 days,¹⁴⁶ and creditors have seven days after public notice to register claims.¹⁴⁷ Secured creditors are not barred from exercising their non-bankruptcy rights during a bankruptcy case, but they must do so within 30 days after the bankruptcy order is issued or forfeit interest on their debt.¹⁴⁸ During the pendency of case, until discharge, the bankrupt has various disabilities. For example, he or she cannot serve as a trustee, hold public office, be a director or manager of a company, take on debt without approval, or travel overseas.¹⁴⁹

¹⁴⁰IBC, § 155.

¹⁴¹IBC, § 79(14).

¹⁴²IBC, § 79(14).

¹⁴³IBC, § 158.

¹⁴⁴IBC, § 159.

¹⁴⁵IBC, § 128(1)(c). The Code does not appear to expressly provide that pending actions continue to be stayed after the interim moratorium expires.

¹⁴⁶IBC, § 130.

¹⁴⁷IBC, § 131.

¹⁴⁸IBC, § 128(2).

¹⁴⁹IBC, § 140-41.

In a bankruptcy case, the insolvency professional operates as a “trustee,”¹⁵⁰ and the trustee appears to play an even more central role than insolvency professionals generally do in insolvency cases. As noted above, the bankrupt’s estate vests in the trustee once the trustee is appointed.¹⁵¹ He or she convenes a meeting of creditors,¹⁵² administers the bankrupt’s estate,¹⁵³ and subsequently applies for a discharge of certain debts.¹⁵⁴ In administering a bankruptcy case, the trustee must “investigate the affairs of the bankrupt; realise the estate of the bankrupt; [and] distribute the estate of the bankrupt.”¹⁵⁵ Among other things, the trustee has power to hold property, make contracts, sue, sell assets of the estate, exercise rights of redemption for secured property, give receipts, collect on debts owed to the bankrupt.¹⁵⁶ Some of actions by the trustee require approval of creditors, such as carrying on the debtor’s business to wind it up; bringing or defending legal actions related to the estate; using property of the estate as collateral; or appointing the debtor to manage property in the estate or carrying on the debtor’s business.¹⁵⁷ The bankrupt has a duty to assist the trustee in his or her performance of these functions.¹⁵⁸

Notably, the bankruptcy trustee can request that the Debt Recovery Tribunal avoid various transactions that the debtor has made, including “undervalued transactions” made within two years that “caused the bankruptcy process to be triggered,”¹⁵⁹ preferential

¹⁵⁰IBC, § 125.

¹⁵¹IBC, § 154.

¹⁵²IBC, § 132-35. The trustee can forego a meeting if he or she deems it unnecessary.

¹⁵³IBC, § 136. Part III, Chapter V of the Code governs how the trustee administers and distributes the estate.

¹⁵⁴ See *infra* notes ____ and accompanying text.

¹⁵⁵IBC, § 149.

¹⁵⁶IBC, § 151-52.

¹⁵⁷IBC, § 153.

¹⁵⁸IBC, § 150.

¹⁵⁹IBC, § 164.

transfers,¹⁶⁰ and “extortionate credit transactions.”¹⁶¹ A transaction is extortionate under the Code if it requires “exorbitant payments” compared to the amount of credit extended or that are unconscionable under contract law.¹⁶² Regulated lenders who comply with relevant law and regulations enjoy a safe harbor from the extortionate credit transaction provision.¹⁶³

Trustees may make interim distributions to creditors¹⁶⁴ and make a final distribution “when the trustee has realized the entire estate or so much of it as could be realized” in the trustee’s opinion.¹⁶⁵ The distribution is made according to the following priorities: trustee costs and expenses, in full; workmen’s dues for the two years preceding the bankruptcy case and secured debts; wages to other employees for the one year preceding the bankruptcy case; government claims for the two years preceding the bankruptcy case; and all other debts.¹⁶⁶

The trustee must apply to the Debt Recovery Tribunal for the debtor’s discharge within one year of the commencement of the case or seven days after approval for a discharge by the creditors committee, whichever is earlier.¹⁶⁷ The discharge does not apply to debts incurred by fraud or “excluded debts.”¹⁶⁸ Excluded debts include liabilities for court or tribunal fines; “negligence, nuisance or breach of a statutory, contractual or other legal” obligations; maintenance of any person required by law; student loans; or any other

¹⁶⁰IBC, § 165. The preference period is two years for transactions with an “associate” and, otherwise, six months. To be avoidable, the bankrupt must have had “a desire” to make the other party better off, the counter-party must be a creditor or guarantor, and the transaction must put them in a position “better than ... if that thing had not been done.”

¹⁶¹IBC, § 167.

¹⁶²IBC, § 167(5).

¹⁶³IBC, § 167(6).

¹⁶⁴IBC, § 174.

¹⁶⁵IBC, § 176.

¹⁶⁶IBC, § 178.

¹⁶⁷IBC, § 138. The discharge order can be withdrawn or modified. IBC, § 142.

¹⁶⁸IBC, § 139.

thing that “might be prescribed.”¹⁶⁹Creditors must vote to release the trustee after he or she has administered and distributed the bankrupt’s estate.¹⁷⁰

3. “Fresh Start”. Chapter II of Part III of the Code provides a “fresh start process” for debtors with very modest financial profiles and who are “unable to pay [their] debt.”¹⁷¹The Process is limited to individuals with annual income of 60,000 rupees or less; with assets of 20,000 rupees or less; with less than 30,000 rupees in qualifying debts; who does not own a home; and who has not obtained a fresh start within the previous year.¹⁷²A debtor can file directly or through a resolution professional,¹⁷³ but creditors cannot file involuntary cases under this Chapter.

As in other cases, an interim moratorium enjoining and all legal actions “in respect of” the debtor’s debt comes into effect when a debtor applies for relief under this Chapter.¹⁷⁴The Tribunal must inform the Board within seven days after the debtor files an application, and the Board must approve the debtor’s resolution professional or appoint one within 10 days of receiving notice from the Tribunal.¹⁷⁵Thereafter, the resolution professional has 10 days to review the information provided in the debtor’s application and submit a report to the Debt Recovery Tribunal recommending either acceptance or rejection of the application.¹⁷⁶The report must set out debts subject to discharge¹⁷⁷ and the

¹⁶⁹IBC, § 79(15).

¹⁷⁰IBC, § 137, 148.

¹⁷¹IBC, § 80.

¹⁷² As of July 2017, 20,000 rupees roughly equals 310, and 60,000 rupees equals roughly \$930. These eligibility requirements do not expressly provide for accounting for debtors who are members of households.

¹⁷³IBC, § 80.

¹⁷⁴IBC, § 81.[note information that the debtor must include with his or her application?]

¹⁷⁵IBC, § 82.

¹⁷⁶IBC, § 83.

¹⁷⁷IBC, § 83(5).

reasons for its recommendation.¹⁷⁸The resolution professional may also request more information from any party, who then has seven days to furnish that information.¹⁷⁹

The Code provides that the resolution professional must reject the application if he or she determines that the debtor does not meet the eligibility requirements, the debtor does not have debts subject to discharge, or the debtor has “deliberately made a false representation or omission” in his or her application.¹⁸⁰A debtor enjoys a presumption of not being able to repay debts if it appears to be the case on the face of the debtor’s application.¹⁸¹

The Debt Recovery Tribunal must issue an order admitting or rejecting the debtor’s application within 14 days of receiving the resolution professional’s report¹⁸²and stating the amount of debt determined by the resolution professional to be dischargeable.¹⁸³ The Tribunal must notify affected creditors of this decision within seven days.¹⁸⁴ If the debtor’s application is admitted, the interim moratorium is extended for 180 days¹⁸⁵and certain disabilities are imposed on the debtor, including prohibitions against acting as a director of company; disposing of property; and not travel outside of the country.¹⁸⁶

Creditors mentioned in the Tribunal’s order admitting the applications have ten days to submit objections to the resolution professional, and these objections can only relate to whether their debt qualify for discharge or the veracity of “details of the qualifying

¹⁷⁸IBC, § (83)(7).

¹⁷⁹IBC, § 83(3),(4).

¹⁸⁰IBC, § 83(6).

¹⁸¹IBC, § 83(5).

¹⁸²IBC, § 84(1).

¹⁸³IBC, § 84(2).

¹⁸⁴IBC, § 84(3).

¹⁸⁵IBC, § 85(2).

¹⁸⁶IBC, § 85(3).

debt.”¹⁸⁷ Such objections must be accepted or rejected by the resolution professional within ten days.¹⁸⁸ Any party can then challenge a determination made by the resolution professional within 10 days, and the Tribunal has 14 days to decide whether the challenge is meritorious.¹⁸⁹ Parties can also seek replacement of the resolution professional.¹⁹⁰ The Tribunal can revoke the debtor’s application if the debtor’s situation changes, the debtor misbehaves, or the debtor does not comply with their duties under the Code.¹⁹¹

The resolution professional must submit a final list of qualifying debts to the Tribunal no fewer than seven days before the moratorium period expires, i.e., 180 days after the debtor’s application was admitted.¹⁹² The Tribunal is then charged with issuing a final discharge order by the end of the moratorium period, which provides for the discharge of qualifying debts, penalties and interest and contractual fees on qualifying debts since the debtor’s application.¹⁹³ The order does not affect the debtor’s liability on any other debts or liabilities. Notably, the fresh start process does not provide for making any distributions to creditors from the debtor’s property.

III. Assessing the Design

The new Indian personal insolvency and bankruptcy provisions have not yet gone into force, so it is too early to begin to observe the law’s impact. At this stage, it is only possible to assess the design of these provisions and to speculate about how they will operate and what impact they will have. Parts II.A and II.B assess the design of the regime in light of the goals of the policymakers who are responsible for drafting, enacting and

¹⁸⁷IBC, § 86.

¹⁸⁸IBC, § 86(5).

¹⁸⁹IBC, § 87.

¹⁹⁰IBC, § 89.

¹⁹¹IBC, § 91.

¹⁹²IBC, § 86(5), 92.

¹⁹³IBC, § 92.

implementing it, as reflected in their express statements, and in the design of the regime itself. As with most consumer insolvency and bankruptcy regimes, it appears that the Indian regime is designed to both improve creditors' recoveries and to provide a degree of insurance to debtors against the risk of financial distress. There are some institutional features of the regime, however, that potentially complicate these functions, especially the ease with which individual creditors can trigger an involuntary case. Part II.C. considers the potential impact of the regime given its design as well as social and economic factors affecting the domestic consumer financial market. The new regime represents a rare example of a society adopting a modern insolvency or bankruptcy regime in the absence of a financial crisis or destabilizing household over-indebtedness. Instead, the regime will likely be an important part of the development of consumer financial markets in India. There are reasons to believe that it will have some beneficial effects on that development as well as some potentially distortive effects as well.

A. Policy Goals

As a general matter, personal insolvency and bankruptcy laws tend to balance two, often but not necessarily related, foundational policy goals: providing creditors with a mechanism for increasing their individual or collective recoveries from defaulting debtors and providing debtors with a form of relief from their indebtedness and related burdens.¹⁹⁴ Insolvency and bankruptcy regimes can pursue the first of these goals by requiring the distribution of some portion of a debtor's assets to creditors according to some order of priorities and distributive logic, usually pro rata within priorities. They may also or alternatively provide for payment of some portion of a debtor's wage income over a period of time. Some regimes enable creditors to initiate the insolvency or bankruptcy

¹⁹⁴ The World Bank, Insolvency and Creditor/Debtor Regimes Task Force, Working Group on the Treatment of the Insolvency of Natural Persons, Report on the Treatment of the Insolvency of Natural Persons, Jan. 1, 2014, available at http://siteresources.worldbank.org/INTGILD/Resources/WBInsolvencyOfNaturalPersonsReport_01_11_13.pdf

process when it is in their interest to do so; this power may also improve creditors' individual leverage over debtors since they can credibly threaten to exercise this option.

Personal insolvency and bankruptcy regimes can, and generally do, pursue the second of these goals, i.e., providing degree of relief to debtors, by staying or enjoining debt collection for some period of time, discharging or restructuring some obligations, and providing a mechanism to enable debtors to retain certain categories of property, including property securing the debtor's obligations.

Giving creditors a mechanism for increasing their returns from debtors can, at least in theory, be market-reinforcing, by making creditors more willing to extend credit ex ante and by reducing the cost of credit. In theory, it can also help discipline debtors, reducing the likelihood that they will become over-indebted in the first place. Providing relief to debtors can be market-reinforcing as well, by providing a form of insurance against the effects of over-indebtedness and allocating some related losses to creditors. Creditors will presumably pass some of the costs of such losses back to borrowers, who effectively pay a premium for their protection in the form of slightly higher rates for credit. This protection may make some individuals more willing to borrow to smooth their consumption. It may also enable over-indebted individuals return to productive activity more quickly than they otherwise would; in this regard, such debtor protections can help promote entrepreneurial risk-taking. Debtor protections under bankruptcy or insolvency law can also alleviate more personal costs of financial distress, like emotional and physical stress and deprivation of basic goods and services, that have significant social welfare effects but that are very hard to observe or measure.

These goals of creditor and debtor protection can sometimes push in opposite directions; yet they can also reinforce each other. After all, a healthy consumer financial market is one in which creditors are motivated to lend and debtors are motivated to borrow for productive purposes, and both internalize some of the risk that the debtor will not be able to repay. In fact, most personal insolvency and bankruptcy regimes aim to serve and balance both functions, simultaneously giving creditors useful tools to increase the

chances and amount of repayment and providing debtors with various types of relief and protection. Various jurisdictions balance these functions differently, falling along a spectrum between the most creditor- and debtor-friendly ones. These various goals and approaches may be explicitly addressed in the policy- or law-making process, but in any event, they can often be deduced from the substance of the regime and the nuances of institutional design.

Judging from both the law-making process that produced it and from the substance of India's new personal insolvency and bankruptcy provisions, it is difficult to clearly pinpoint the driving motivations of the policymakers who drafted and enacted India's new personal insolvency and bankruptcy regime. While it seems clear that policymakers intended to balance creditor and debtor protections in the regime, it is not clear precisely what balance they intended to strike. Exacerbating this difficulty, there was notably little public discussion about the proposed personal insolvency and bankruptcy regime leading to its enactment; and, surprisingly, there has been even less discussion since. This section proposes a set of motivations for the various provisions of the new regime based on both the public record and the nature of the design of the regime itself and assesses key features of its design in light of these motivations.

The motivations behind the enactment of the new personal insolvency and bankruptcy regime in India are murky in large part because the project of adopting a new Code was dominated by problems related to insolvent commercial debtors. The overriding goal for reforming India's insolvency and debt-restructuring laws was to reduce the amount of time it takes to allocate losses from struggling commercial entities among various stakeholders and to reduce the degree of uncertainty about the outcomes of that process. As noted above, there appear to have been two primary underlying concerns fueling this goal. First, policymakers aimed to improve background conditions for expanding the availability of credit, especially unsecured credit, to commercial ventures in the country. Policymakers appear to have been particularly concerned about the country's ability to attract foreign investors, who tend to be concerned both about the legal environment for firms or projects they invest in and about their ability to recover capital if

those firms or projects fail. Discussions leading up to the enactment of the new Code frequently referred to India's very low rating in the World Bank's Doing Business report, which is determined in part by the average time required for an insolvency proceeding in each country. India's Prime Minister, Narendra Modi, promised in his campaign for the post to significantly improve India's ability to attract foreign investment. In particular, he expressly aimed to improve the country's Doing Business ranking from its current [149th] to [50?] within [5?] years. The Insolvency and Bankruptcy Code is one of the chief concrete actions designed to improve the environment for both domestic and international investors in India that has occurred under Modi's leadership.¹⁹⁵

Second, and perhaps more acutely, policymakers aimed to support the country's banks that are saddled with significant amounts of loans to troubled firms designated as non-performing assets on their balance sheets. Increasing the speed of resolution of those debtor firms would help banks determine and realize their losses on those non-performing assets, enabling them to fix capital-adequacy problems and improving their ability to extend new credit going forward.¹⁹⁶

The scope of the initial charge to the Bankruptcy Law Reforms Committee in the fall of 2014 did not extend to individual or household debtors, and the Committee's initial report in February 2015 dealt only with business debtors. At that point, it appears that the Committee had determined that a personal insolvency regime would be necessary to resolve some business-related failures, because many firms in the country, as elsewhere, are sole proprietorships, in which the personal finances of the venturers are inextricably intertwined with those of the venture itself.

Subsequently, the Committee solicited a report on personal insolvency laws, which essentially became the blueprint for the provisions eventually included in the Code.¹⁹⁷ This

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¹⁹⁷ Ramann, Sane & Thomas, *supra* note ____.

report discussed the UK and Australian models of personal insolvency in detail and described a set of economic and institutional goals for a reformed system in India. It represented one of the very few express statements about the motivation for reforming India's personal insolvency laws in the public record leading to the adoption of the Code. In its introductory sections the report discussed the need for expanded access to consumer credit, especially unsecured credit that does not encumber household assets, as well as the need to address the coercive debt collecting practices of lenders in the country that increase the social costs of personal insolvency. Regarding institutional design, the report stated its view that an effective personal insolvency system must balance the interest of creditors and debtors to ensure that both parties will be willing to participate in the system and to curb the ex ante incentives on each side. While the Bankruptcy Law Reform Committee essentially embraced the institutional approach proposed in this report, its final did not expressly incorporate much of the report's background analysis or elaborate upon it. As noted above, the Committee's final report only referred glancingly to "the importance of such borrowers in the economy," and observed briefly that, under the preexisting framework, creditors often had difficulty recovering from individuals and often resorted to "coercive practices," which compounded the social costs of indebtedness.¹⁹⁸

Thus, the public record of policymakers involved in drafting and enacting the Code suggests that the primary motivation in including personal insolvency and bankruptcy provisions in the Code was actually to ensure that Code had a comprehensive scope regarding business debtors. Given that such a large percentage of businesses in the country are sole proprietorships or family-level ventures, the financial circumstances of a large portion of businesses in the country are tied up with the personal financial affairs of their owners. Policymakers appear to have aimed to create a regime that tended to improve the position of commercial creditors, whether their debtors were large firms or small enterprises. With regard to individual debtors who have primarily consumer and household debts, however, policymakers appear to pursued various underlying goals,

¹⁹⁸ *Report of the Bankruptcy Law Reforms Committee*, *supra* note ___, at 114.

including meaningful debt relief, but did not articulate a particular approach to balancing these goals.

Judging by the Code itself, the overall regime for personal and household debtors appears designed to lean toward providing a creditors' remedy with a carve-out for individuals on the periphery of the formal economy and, at least for the near future, to serve a relatively modest social insurance function. As described above, the regime for personal insolvencies and bankruptcy enacted by the Indian Parliament essentially contains two distinct tracks. One track, the "fast-track" chapter, for debtors with very small amounts of debt or very few assets; the second track is for all other individual debtors. These two tracks represent the two predominant models for individual insolvency or bankruptcy law around the globe: one in which debtors repay creditors, if at all, from their available assets (like India's fast-track provisions) and the other in which they repay creditors from their ongoing wage income (like the insolvency provisions for other individual debtors). Some jurisdictions have adopted one or the other model, while many jurisdictions have, like India, adopted some combination of the two. To some extent, these two models tend to generate differing social insurance functions, but the choice of model alone does not determine the degree of debtor protection.

To be clear, the fast-track chapter in India's new Insolvency and Bankruptcy Code offers very robust relief for debtors within its scope and appears designed to function relatively straightforwardly as a generous form of social insurance. The fast-track regime can only be initiated voluntarily by debtors; creditors are not authorized to initiate cases under that chapter. Eligible debtors can thus file for a fast-track process; trigger a broad moratorium that enjoins creditors' efforts to collect their debts; and, within 180 days, obtain a relatively generous discharge of debt without being required to distribute assets to their creditors.

The likely scope of the operation of the fast-track regime for individuals, however, may be quite limited for some period of time. The eligibility requirements, especially the requirement that debtors have less than 20,000 rupees in assets, may significantly limit the

value of the regime. While a significant percentage of the Indian population may formally meet these requirements a much smaller subset of the individuals who do meet them may benefit from the provisions. Other than individuals engaged as farmers, it is unlikely that many of these individuals will have accumulated significant amounts of debt. Furthermore, most debtors in this demographic, [what about farmers?], will have relatively little unsecured debt that is subject to potential discharge. Because the regime is not available to debtors who own their own home, the regime will not enable debtors to use the moratorium strategically to avoid or delay the repossession of their home by secured creditors, a common benefit of personal insolvency or bankruptcy regimes. Furthermore, although the fast-track regime can only be initiated voluntarily, it does not appear that it is exclusive regime for eligible debtors, and it may be that creditors can still initiate insolvency cases for debtors who would also be eligible for a fast-track process. Factoring in the direct costs of filing a case for a debtor, which may be prohibitive for low income individuals, it is entirely possible that only a relatively small subset of eligible debtors will end up employing the fast-track provisions.

In contrast to the fast-track regime, the insolvency and bankruptcy provisions for all other individual debtors are considerably harder to characterize. Broadly speaking, the general approach is similar in many respects to the provisions for commercial debtors, with stakeholders required first to attempt to have a Tribunal approve a debtor's repayment plan. The "liquidation," i.e., bankruptcy, provisions are available only if the insolvency process fails for certain reasons. Given this structure and the design of the insolvency provisions available to debtors who are not eligible for the fast-track provisions, that regime tends to appear on its terms to lean in favor of creditors.

Perhaps most significantly, unlike the fast-track provisions, creditors are authorized to initiate involuntary insolvency cases. It is also noteworthy that the Code does not specify the terms of such repayment plans; rather, a debtor can apparently propose whatever terms they want but they must attract the support of two-thirds of creditors to vote to accept the plan. Thus, while two-thirds of creditors can cram-down a debtor's plan over minority creditors' objections, the Code does not require that the plan provide any

minimal degree of relief to the debtor. Presumably, creditors will voluntarily accept less than full repayment in cases where they are convinced that insisting on full payment will not be fruitful or will actually reduce their ultimate recovery. But there is nothing in Code to enforce such an approach if creditors do not consent, even if it appears obvious that granting some measure of debt relief is the most sensible resolution for creditors as a whole and will spare the debtor a harsh personal burden. And, as noted above, failure of creditors to accept a plan does not appear to be a basis for enabling a debtor to file a case under the bankruptcy provisions. These factors, when combined, appear to give creditors significant leverage over debtors in the insolvency process, which may also translate into significant leverage over debtors outside of the regime who fear being forced into insolvency involuntarily.

It is possible that resolution professionals and Tribunals could provide a greater degree of protection and relief to debtors than one might assume based on the terms of the Code itself. The lack of guidance in the Code about whether and when these institutional actors must approve a debtor's repayment plan could also be understood by them as a lack of constraint. Thus, for example, Tribunals and appellate courts might determine that they can reject debtors' plans, despite creditor approval, that are too onerous for debtors or otherwise infeasible. The most direct effect of such action would be to authorize the debtor to apply for bankruptcy relief. Such an approach might simply cause creditors to subsequently refuse to approve plans that they believe will be rejected by the Tribunal, assuming that their failure to approve a plan is not a basis for bankruptcy. In cases where creditors believe they will recover more from a debtor under a more generous repayment plan than outside of the insolvency process, however, they might simply adjust to the willingness of courts to reject onerous or unreasonable plans.

In light of the creditor-favoring aspects of the insolvency provisions, it is not clear what might motivate debtors to voluntarily file for insolvency under Code. Some debtors may file to benefit temporarily from the moratorium on creditors' debt collection activities. But debtors will bear direct and indirect costs of filing a case; they will experience the disabilities imposed on them under the Code; and they will be subject to creditors'

consent for any relief they might obtain in the process. As described below, the bankruptcy process may hold out more predictability and relief for many debtors, and filing an insolvency case is a precondition for bankruptcy. But the pathway from insolvency to bankruptcy is rather narrow and it is not subject to debtor discretion, so it is hard to imagine that many debtors would file for insolvency as an initial step toward relief under the bankruptcy provisions.

The provisions of the bankruptcy process under the Code seem to balance creditor and debtor interests more evenly than the fast-track or insolvency provisions. On the one hand, creditors can initiate involuntary cases that meet the eligibility requirements; they get the benefit of the trustee's responsibilities to manage the estate and recover assets available to all creditors, including preferential transfers, and other claims of the estate; and they are entitled to distribution of all of the debtor's non-excluded assets. On the other hand, debtors enjoy a moratorium on creditors' debt collection and a relatively quick and predictable discharge of all qualifying debts, with assurance that they can retain excluded assets. Debtors with few or no non-excluded assets will be able to discharge qualifying unsecured debts without contributing anything to creditors and only experience the direct and indirect costs of the process and the disabilities imposed by the Code.

Nonetheless, as noted above, the narrow scope of eligibility for the bankruptcy process may render it a limited extension of the insolvency process, which is itself calibrated to give creditors significant leverage over their debtors. If so, the bankruptcy chapter does not significantly rebalance the creditor-leaning aspects of the insolvency process. If resolution professionals and Tribunals liberally reject resolution plans, as considered above, they may effectively expand the scope of eligibility, in which case the bankruptcy regime might provide a more debtor-protective counter-weight to the insolvency system. But that would undoubtedly be a controversial application of authority and may not survive review on appeal.

In sum, the Code appears to be designed to provide rather generous and predictable debtor relief and protection through the fast-track provisions; to give creditors a great deal

of power and discretion under the insolvency process; and to provide an insolvency backstop in the bankruptcy provisions that more evenly balance the interests of creditors and debtors. Given that the fast-track provisions appear to be formally available and practically useful to a narrow set of individual debtors and that the bankruptcy provisions have an even narrower set of eligibility requirements, there are reasons to believe that the Code is designed to steer most over-indebted individuals who might actually utilize the system into the insolvency process, which generally empowers creditors. If so, it would appear that the overall system for personal debtors under the Insolvency and Bankruptcy Code leans toward enabling creditors to increase their returns from debtors and deemphasizes the social insurance function of the Code.

B. Some Concerns

1. Creditor coordination. If India's new personal insolvency and bankruptcy system is largely designed to improve the recovery of creditors from their individual debtors, however, there are features of the system that might operate against that goal. Most notably, the insolvency system largely depends on creditors coordinating and cooperating in various ways, especially in voting to approve debtors' resolution plans. This may significantly underestimate inter-creditor tensions and adverse interests among them. Consider, for example, that any creditor can initiate an insolvency case against a debtor who is in default on any obligation. This may give a strong advantage to creditors who are in a good position to monitor their debtors and may give attentive individual creditors a great deal of leverage over their common debtor. In many cases, where a debtor defaults or nears default on a single obligation, that creditor will have private information about the debtor's eligibility or impending eligibility for insolvency, which will put the creditor at a strategic advantage over others.

The voting requirements for creditors to approve or reject a resolution plan may also give some creditors leverage over others if they have effective veto blocks. The fact that creditors' failure to approve a debtor's resolution plan does not make a debtor eligible for bankruptcy may further undermine creditor cooperation in various ways. In some

cases, where creditors as a group are ambivalent about their common debtor's effort to obtain relief under the Code, it may undermine their motivation to coordinate in the first place. In other cases, it may give holdout creditors even greater leverage over other creditors because they can effectively end any effort to resolve a debtor's financial problems.

2. Sorting. A broader concern, however, is the possibility that the competing goals of the overall system are simply not effectively balanced within its component parts and that the system is not designed to effectively steer debtors into the appropriate chapter. As a comparative matter, it is not uncommon to provide different types of insolvency or bankruptcy relief within a single system, combining "straight bankruptcy" or a fresh-start-type discharge with a scheme for wage-earners to repay some or all of their debts over time. But jurisdictions that attempt to divide their systems in this way must, ideally, determine a basis for steering debtors into one track or the other or for allowing debtors to choose between them and for choosing how much to constrain that choice. The conventional and related goals in this regard are, first, to aim to sort debtors who can repay meaningful amounts from those who cannot and, second, to avoid creating moral hazard that encourages debtors to risk becoming over-indebted by insuring them from some of the potential harms of doing so.

Under the new Code, to the extent that there is an effort to sort debtors, it is done rather bluntly through the eligibility requirements for the fast-track provisions. Debtors eligible for that chapter are entitled to relatively generous, quick, and predictable debt relief, and presumably are designed for debtors who are unlikely to be able to repay a significant amount of debt. These provisions expressly provide that, to be eligible for fast-track insolvency, debtors must be unable to repay their debts, but it is not clear that this requirement alone will do much work: a debtor enjoys a presumption that they are unable to repay their obligations if that appears to be true from the information in their application. It is also not clear if the requirement envisions that a debtor will be unable to repay *all* of his or her debt or *any* of the debt.

The other eligibility requirements are based on a debtor's income, assets and debts. It is likely that these factors are generally good proxies for ability to repay, i.e., that low income and low asset debtors are predictably unlikely to be able to repay their debts. But the requirement that debtors have less than 30,000 rupees in qualifying debt is predictably, if slightly, over-inclusive. Because the requirement is not a floor but a ceiling, some debtors with relatively little debt, and who might reasonably be expected to repay a significant portion of their obligations, will be eligible for relief. To be clear, however, this will presumably not be a significant problem because such debtors will not have much incentive to seek relief, and the losses to creditors in such cases will be minimal.

Of greater concern, however, is the fact that the income and asset eligibility requirements of the fast-track chapter may exclude many individual debtors who cannot repay a meaningful amount of their debts. The number of debtors who fall into this category seems likely to increase as the number of Indians earning more than 60,000 rupees per year, and their ability to incur greater amounts of debt, both increase. Such debtors will only be able to utilize the insolvency process, which is designed for debtors who can repay a meaningful amount of their debts. Ideally, those debtors who are initially limited to the insolvency process but in fact cannot repay a meaningful amount of their debts would be steered into the bankruptcy process, which, like the fast-track process, is designed largely for debtors who cannot manage a repayment plan.

It appears, however, that the Code may not be calibrated to efficiently channel cases between the insolvency and bankruptcy chapters. In particular, if the failure of creditors to approve a repayment plan in an insolvency case is not grounds for bankruptcy, then it seems likely that many cases in which debtors simply cannot repay much of their debt will not reach the bankruptcy phase. If not, then perhaps many cases will end without relief that should perhaps be resolved in a bankruptcy proceeding.

C. Broader Impact

Although the new personal insolvency provisions are a radical departure from the insolvency laws they replace, there are reasons to believe that their initial direct impact on Indian society and its economy may be relatively modest in the short term and increase significantly over time. In the short term, the new system, at least as it affects households and consumer borrowers (not including farmers, for example), does not appear to be fixing an acute existing problem in consumer financial markets. There is not currently a broad consumer over-indebtedness problem in the country. In fact, although levels of consumer debt have been increasing steadily over recent decades, the market for consumer finance is still relatively modest. Perhaps most significantly, there is relatively little unsecured consumer debt in the market that is subject to discharge. When one factors in the stigma and formal disabilities associated with filing for insolvency or bankruptcy, there may be relatively little demand for the law among individual debtors. Because secured creditors have tools available to enforce their security interests, there may be relatively little demand among creditors to use the law as well. It is possible that a primary function of the law in the short-term may be the leverage it provides creditors to collect debts from debtors simply by threatening to force them into an insolvency proceeding.

In other words, India's insolvency and bankruptcy regime for individuals and consumer debtors has been adopted at an early stage of the development of the country's consumer financial markets. The timing of India's legal reforms in this area is thus an additional and somewhat unique factor that will affect how the performance of India's new personal insolvency and bankruptcy system maps on to the underlying goals of those who designed it. It also means that the performance of the system has the potential to affect the development of markets for consumer finance in India. This represents a rare opportunity to bake a functional insolvency system into an emerging consumer financial market, which could help ensure that the market develops into a more stable and efficient system than it otherwise would.

As discussed above, a personal insolvency regime can improve creditors' returns, making it more appealing for them to extend consumer credit, and can insure debtors against the risk of financial distress, making them more willing to borrow and dampening

the social costs of their failure. If these functions are well-balanced and predictable in operation, they can promote the expanded use of consumer credit, which can in turn improve social welfare and support broader economic growth. In particular, a well-balanced regime can also insure against the risk that borrowers will become over-indebted and enable parties to allocate *ex ante* the costs of insuring against that risk.

But, again, there are reasons to be concerned that the new Indian personal insolvency and bankruptcy system does not balance these functions to best serve this developmental role. If the regime operates primarily as a creditors remedy and provides only a modest degree of social insurance, it is not clear how this might impact the development of a consumer financial market. Assuming that outcomes are expedient and predictable, it might make creditors more willing to lend, which should, in theory, increase the supply of credit available to consumers.

If inter-creditor conflicts are common, however, and some creditors benefit from the system at the expense of others, then this net positive impact on the supply of credit might be reduced. If the system is unpredictable in operation, or if it does not in fact increase creditor returns, these results will also diminish any potential increase in the supply of credit.

However, if the system as designed provides only modest or ineffectual insurance against financial distress, this might not make debtors as a whole more willing to borrow, dampening the effect of any increase in the supply of credit. Furthermore, if individuals and households come to believe that borrowing money, even for productive and socially beneficial purposes, makes them vulnerable to an involuntary insolvency proceeding, this could make them less inclined to borrow than they would otherwise be. In that case, the new regime might actually hinder the development of a robust market for consumer finance.